

Monsieur de Norpois was not lying. He had just forgotten. One forgets rather quickly what one has not thought about with depth, what has been dictated to you by imitation, by the passions surrounding you. These change, and with them so do your memories. Even more than diplomats, politicians do not remember opinions they had at some point in their lives and their fibbings are more attributable to an excess of ambition than a lack of memory.

Monsieur de Norpois is made to be ashamed of the fact that he expressed a different opinion. Proust did not consider that the diplomat might have changed his mind. We are supposed to be faithful to our opinions. One becomes a traitor otherwise.

Now I hold that Monsieur de Norpois should be a trader. One of the best traders I have ever encountered in my life, Nigel Babbage, has the remarkable attribute of being completely free of any path dependence in his beliefs. He exhibits absolutely no embarrassment buying a given currency on a pure impulse, when only hours ago he might have voiced a strong opinion as to its future weakness. What changed his mind? He does not feel obligated to explain it.

The public person most visibly endowed with such a trait is George Soros. One of his strengths is that he revises his opinion rather rapidly, without the slightest embarrassment. The following anecdote illustrates Soros's ability to reverse his opinion in a flash. The French playboy trader Jean-Manuel Rozan discusses the following episode in his autobiography¹² (disguised as a novel in order to avoid legal bills). The protagonist (Rozan) used to play tennis in the Hamptons on Long Island with Georgi Saulos, an "older man with a funny accent", and sometimes engage in discussions about the market, not initially knowing how important and influential Saulos truly was. One week-end, Saulos exhibited in his discussion a large amount of bearishness, with a complicated series of arguments that the narrator could not follow. He was obviously short the market. A few days later, the market rallied violently, making record highs. The protagonist worried about Saulos, asked him at their subsequent tennis encounter if he was hurt. "We made a killing", Saulos said. "I changed my mind. We covered and went very long".

It was this very trait that, a few years later, affected Rozan negatively and almost cost him a career. Soros gave Rozan in the late 1980s 20

million dollars to speculate with (a sizeable amount at the time), which allowed him to start a trading company (I was almost dragged into it). A few days later, as Soros was visiting Paris, they discussed markets over lunch. Rozan saw Soros becoming distant. He then completely pulled the money, offering no explanation. What characterizes real speculators like Soros from the rest is that their activities are devoid of path dependence. They are totally free from their past actions. Every day is a clean slate.

PATH DEPENDENCE OF BELIEFS

There is a simple test to define path dependence of beliefs. Say you own a painting you bought for \$20,000, and owing to rosy conditions in the art market, it is now worth \$40,000. If you owned no painting, would you still acquire it at the current price? If you would not, then you are said to be married to your position. There is no rational reason to keep a painting you would not buy at its current market rate – only an emotional investment. Many people get married to their ideas all the way to the grave. Beliefs are said to be path dependent if the sequence of ideas is such that the first one dominates.

There are reasons to believe that, for evolutionary purposes, we may be programmed to build a loyalty to ideas in which we have invested time. Think about the consequences of being a good trader outside of the market activity, and deciding every morning at 8 a.m. whether to keep the spouse or if it is not better to part with him or her for a better emotional investment elsewhere. Or think of a politician who is so rational that, during a campaign, he changes his mind on a given matter because of fresh evidence and abruptly switches political parties. That would make rational investors who evaluate trades in a proper way a genetic oddity – perhaps a rare mutation. Some medical researchers find that purely rational behavior on the part of humans is a sign of a defect in the amygdala, that the subject is, literally, a psychopath. Could Soros have a genetic flaw that makes him rational as a decision maker?

Such trait of absence of marriage to ideas is indeed rare among humans. Just as we do with children, we support those in whom we have a heavy investment of food and time until they are able to propagate our